



GROSS DOMESTIC PRODUCT

$$GDP = C + I + NX + G$$

X - M
export - import

PART A

Answer the questions below regarding **GROSS DOMESTIC PRODUCT**.

Define **GROSS DOMESTIC PRODUCT**.

In what **THREE WAYS** do countries use GDP information?

- 1.
- 2.
- 3.

Define the two methods of calculating gross domestic product:

EXPENDITURES APPROACH:

INCOME APPROACH:

What are the **FOUR COMPONENTS INCLUDED** in gross domestic product?

- | | |
|----|----|
| 1. | 3. |
| 2. | 4. |

What is **NOT INCLUDED** in gross domestic product?

Unlike gross domestic product (GDP), the **GROSS NATIONAL PRODUCT (GNP)** includes:

$$GDP = C + I + NX + G$$

X
export

-

M
import

IDENTIFYING

GROSS DOMESTIC PRODUCT

PART B

Determine whether each of the following is **INCLUDED** or **NOT INCLUDED** in the United States GDP. **CIRCLE** your answers and then **EXPLAIN**.

REMEMBER!

C I G X N

1. You purchase a new Ford F150 pickup truck for \$40,000.

INCLUDED or NOT INCLUDED ? **EXPLAIN:**

2. The government purchases \$50 billion of new military equipment and weapons.

INCLUDED or NOT INCLUDED ? **EXPLAIN:**

3. A consumer liquidates a mutual fund and purchases a used house.

INCLUDED or NOT INCLUDED ? **EXPLAIN:**

4. Mexican consumers purchase \$150 million worth of Apple iPads and iPhones.

INCLUDED or NOT INCLUDED ? **EXPLAIN:**

5. McDonalds builds 500 new restaurants throughout the United States.

INCLUDED or NOT INCLUDED ? **EXPLAIN:**

6. A financial advisor earns \$150,000 for services provided to his clients.

INCLUDED or NOT INCLUDED ? **EXPLAIN:**

7. The Gap opens up 70 new stores throughout Europe.

INCLUDED or NOT INCLUDED ? **EXPLAIN:**

8. Costco restocks its inventories with \$35 million worth of goods for summer.

INCLUDED or NOT INCLUDED ? **EXPLAIN:**

9. American consumers purchase \$15 billion of vegetables from Mexico.

INCLUDED or NOT INCLUDED ? **EXPLAIN:**

10. The government issues \$1 trillion to Social Security recipients.

INCLUDED or NOT INCLUDED ? **EXPLAIN:**

$$GDP = C + I + NX + G$$

X
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calculating

GROSS DOMESTIC PRODUCT

PART C

First, **CALCULATE THE GDP** for each year provided. Then, calculate the **% CHANGE IN GDP** between each year.

COUNTRY X GDP DATA - 2015

	Corn	Paper	Steel	Wheat
PRICE	\$2	\$1	\$6	\$2
QUANTITY	10,000	50,000	30,000	25,000
TOTAL				

COUNTRY X GDP DATA - 2016

	Corn	Paper	Steel	Wheat
PRICE	\$3	\$2	\$5	\$2
QUANTITY	10,000	40,000	30,000	50,000
TOTAL				

2015 GDP _____ 2016 GDP _____

COUNTRY Y GDP DATA - 2015

	Salt	Cotton	Copper	Sugar
PRICE	\$5	\$10	\$20	\$2
QUANTITY	20,000	40,000	20,000	50,000
TOTAL				

COUNTRY Y GDP DATA - 2016

	Salt	Cotton	Copper	Sugar
PRICE	\$4	\$10	\$15	\$2
QUANTITY	20,000	30,000	30,000	35,000
TOTAL				

2015 GDP _____ 2016 GDP _____

REMEMBER!

$$\% \text{ change in GDP} = \frac{GDP \ Y2 - GDP \ Y1}{GDP \ Y1}$$

What was the % change in GDP for Country X between 2015 and 2016?

What was the % change in GDP for Country Y between 2015 and 2016?